

MODULE 1

INTRODUCTION TO MANAGEMENT

What is Management?

Management involves organizing the management of, directing and controlling resources to achieve predefined goals. It's the art of directing and inspiring people to work together to achieve a common goal and making the most efficient utilization of resources at available. In essence, management optimizes every resource available, which includes time or money, people and resources.

Definitions of Management:

- According to **Harold Koontz** “ Management is the art of getting things done through and with formally organized groups “.
- According to **Peter F. Drucker**. “ A Multipurpose organ that manages a business and manages managers and manages workers and works “.
- According to **J.Lundy** “ Management is what management does. It is the task of planning executing and controlling “.
- According to **Lawrence Appley** “ Management is the development of people and not the direction of things“.

Objectives of Management:

1) *Optimize Resources:*

- Management teams work to use resources effectively to provide the **most output** possible. This objective creates the ability to **increase** profits by **reducing** the ratio of resource costs to profits.
- Management teams implement logistic strategies and procedures to **identify and reduce processes** that create waste and require extra resources.

2) *Increase efficiency:*

- *Increasing the efficiency of operations, production and services allows for greater production, sales and profits.*
- *Management systems track the processes, duration and flow of the workplace to **determine methods** that provide more efficient outcomes.*
- *Managers may work with other employees and department leaders to create and implement new processes and requirements.*

3) *Maximize profits:*

- *Management teams aim to find the balance between maximizing profits and promoting a beneficial workplace for employees.*
- *Maximizing profits includes working with various departments and leaders such as accountants, supervisors and executives to determine areas that require improvements and changes.*

- Managers can achieve maximum profit objectives by identifying **unnecessary expenses** and waste and creating new procedures for more efficient operations.
- 4) *Promote personal development:*
 - An effective management team prioritizes the growth and development of its employees.
 - Providing opportunities such as **seminars, mentorship** programs, training resources and internal promotions allows employees to **develop new skills** and advance their careers.
 - The personal development and growth of employees can also contribute to the growth, quality and efficiency of work produced and can help management achieve multiple objectives simultaneously.
 - 5) *Maintain quality:*
 - Management teams handle the regulations, procedures and parameters for the production and distribution of products and services.
 - A primary objective of management includes maintaining the **quality standards** necessary for the organization.
 - The team collaborates with other departments, supervisors and employees to create, implement and maintain quality.
 - 6) *Uphold workplace morale:*
 - The environment, attitudes and morale of an organization can affect the overall production and profits.
 - Positive morale among employees creates intrinsic motivation for employees to complete tasks and contribute greater effort.
 - Management teams work to uphold morale by implementing effective authority structures, **creating incentive programs** and responding to employee feedback.
 - Valuing employees and ensuring positive relations increases morale and motivates individuals to continue to grow.
 - 7) *Reduce risk:*
 - Many management positions **focus on forecasting** and projecting results and changes.
 - One main objective for managers includes using planning and predictions to reduce opportunities for risks and losses.
 - Reducing risk factors such as safety issues, wasted resources and extra expenses can help increase profits and eliminate loss.
 - 8) *Generate business strategies:*
 - Management teams often use higher-level critical thinking and abstract strategy to improve operations and profits.
 - The team collaborates with executives, leaders and stakeholders to generate, pitch and implement overall business strategies or frameworks.
 - Creating an effective and consistent business strategy can help identify and narrow objectives for all employees to reach a common goal.
 - 9) *Coordinate workflows:*
 - The workflow and internal structure of an organization can influence productivity and efficiency.

- *Management teams may include or work with logistics, engineering and production professionals to develop logical and expedited workflows, internal structures and facility designs.*
- *Managers may also utilize tools such as organization charts, flow diagrams and procedure audits to evaluate and communicate workflow operations.*

10) Identify talent:

- *An organization's management aims to identify, acquire and maintain top candidates and employees.*
- *Managers may work with recruiters to establish hiring requirements, evaluate candidates and create recruitment offers.*
- *Identifying and gaining talented and qualified employees increases the knowledge, expertise and production of the organization as a whole.*

11) Ensure availability:

- *Management teams work to handle, maintain and predict the availability of resources, goods and services.*
- *To achieve this objective, managers may project and forecast the needs of the organization or public and monitor issues such as shortages.*
- *Predicting and handling issues allows the management team to plan and implement changes to prevent production and distribution delays.*

Functions of Managers:

- **Planning**

Planning can be defined as the process, by which, managers decide the mission and objectives of the firm. It involves taking necessary steps to achieve the desired objectives by establishing guidelines for future activities. Planning helps managers to decide on the activities to be performed with available resources

- **Organizing**

Organizing is the process of assigning and allocating tasks, authority, and resources to enable a firm to achieve its organizational objectives.

- **Staffing**

Staffing involves manning the various positions in the organizational hierarchy. It involves activities such as identifying work-force requirements, recruitment, selection, and orientation of new employees.

- **Leading**

Leading involves directing, influencing, and motivating employees towards achieving organizational objectives.

- **Controlling**

Controlling can be defined as the continuous measurement and analysis of actual operations against the established industry standards developed during the planning process and corrections of deviations, if any.

The main elements of the control process include establishing the standards of performance, measuring the actual performance, comparing the actual performance with the industry

standards developed during the planning process, and taking corrective action in case of deviation.

POSDCORB is a broader concept of management functions (Luther Gulick).

- **P – Planning** – Setting objectives and deciding actions.
- **O – Organizing** – Structuring work and resources.
- **S – Staffing** – Hiring and developing employees.
- **D – Directing** – Leading and supervising employees.
- **CO – Coordinating** – Integrating activities of different departments.
- **R – Reporting** – Informing superiors about progress through reports and records.
- **B – Budgeting** – Managing finances, accounting, and financial planning.

Nature of Management:

To understand the nature of management, the following aspects of management need to be understood.

- ☐ What is management/ is it a science?
- ☐ Is it an art?
- ☐ Is it multidisciplinary in nature/ is it a profession?

Management as a Science:

- Frederick Winslow Taylor was the first manager-theorist to apply scientific principles in the field of management.
- He attempted to find out the **one best way** of doing a task scientifically by observing, analyzing, and experimenting.
- With his knowledge and experience at a steel manufacturing company, he came up with a few scientific principles in management.
- Following the lead from F.W. Taylor, his followers, such as **Frank and Lilian Gilberth**, developed few more scientific ways in management.
- Management is a social science and deals with human beings who are very complex, unlike inanimate things such as light or heat.

Management as an Art:

- Under science, one learns the '**why**' of a phenomenon, but under art, one learns the '**how**' of a phenomenon.
- Art is mainly concerned with bringing the desired result with the application of skills.
- To get things done.
- Management discipline has both science and art components; it is both science and art.
- Science and art are not mutually exclusive; actually, they are complementary to each other

Management as a Profession:

- *According to McFarland, a profession should have specialized knowledge, principles, and skills.*
- *A profession should have methods of acquiring training and experience. It should have formal ethical codes that guide the people practicing the profession.*
- *A professional practicing a profession charges fee for the services he/she provides to their clients.*
- *Unlike medicine or law, management is not a prerequisite for anyone to become managers.*
- *Even though management has few features to become a profession as of now, management has not achieved the status of a profession.*

Management Vs Administration:

Management:

- Management refers to the process of planning, organising, staffing, directing and controlling the activities of an organisation to achieve its goals efficiently and effectively.
- It focuses on getting work done through people by motivating them, guiding their efforts and coordinating their activities. Management is action oriented and concerned with the execution of plans and policies.
- Managers operate at different levels such as top, middle and lower levels. At each level, management ensures that organisational objectives are translated into practical actions.
- It deals with both human and non human resources and aims to maximise productivity while maintaining harmony within the organisation.

Administration:

- Administration refers to the process of formulating policies, setting objectives and laying down the overall framework within which an organisation operates.
It is concerned with determining organisational goals and the broad strategies to achieve them. Administration is mainly focused on decision making at the top level and provides direction to management.
- Administrators represent the ownership or governing body of the organisation. Their role is more intellectual and strategic in nature.
- They ensure that the organisation functions in accordance with its mission, vision, values and legal requirements.

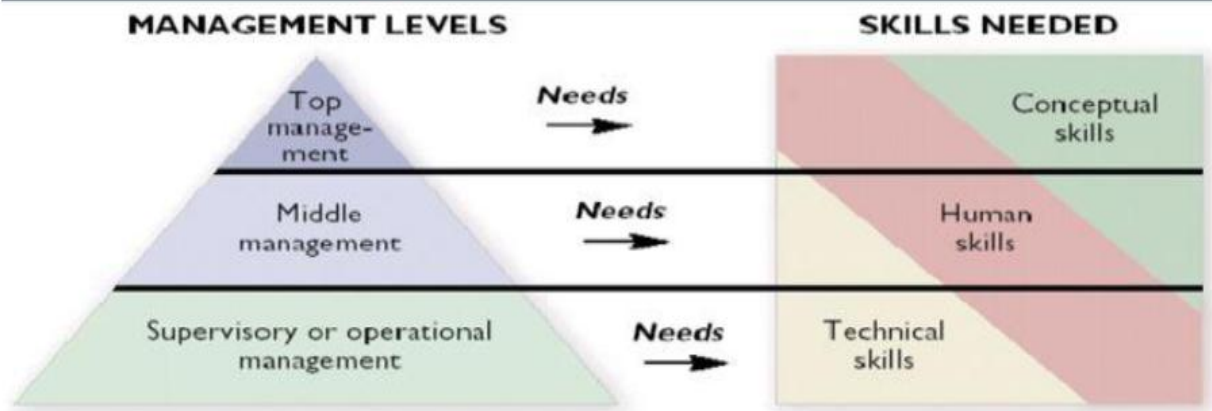
Management vs Administration

Management	Administration
Execution of plans and policies	Formulation of policies and objectives
Implementation and operation	Planning and policy making
Middle and lower levels	Top level
Action oriented	Thought oriented
Works within set policies	Has ultimate authority

Levels of Management:

- **Top-level Managers** The top-level management is responsible for the overall activities of an organization. It establishes plans and goals that influence the entire organization.
- Top-level managers are few in number and occupy the posts of ‘Chief Executive Officer’, ‘Chairman’, ‘President’, ‘Vice-President’, ‘Director’ etc.
- **Middle-level Managers** Middle-level managers are directly responsible for managing the performance of first-level managers.
- They are responsible for the operational efficiency of various departments in an organization and review daily and weekly reports on production or sales.
- They hold designations such as ‘Department Heads’, ‘Project Leader’, ‘Plant Manager’ and ‘Divisional Head.
- **First-level Managers** Managers at the first-level have the responsibility to manage the performance of the non-managerial personnel in an organization and ensure implementation of operational plans. They are also called Supervisors.
- They are given different titles in different companies like ‘Foreman’, ‘Clerical Supervisor’, ‘Technical Supervisor’, etc.

Management Level and Skills



Evolution of Management:

1) Classical Approach

- Administrative Functional or Process Approach (Henri Fayol)
- Scientific Management (F. W. Taylor)
- Bureaucratic Approach (Max Weber)

2) Neo-Classical Approach

- Hawthorne Experiments

3) Behavioural Science Approach

4) Social System Approach

5) Contingency Approach

1) Classical Approach:

- Beginning of systematic study of the organization.
- Emphasis on:
 - Planning of work
 - Technical requirements of the organization
 - Principles of management
 - Assumptions of rational and logical behavior
 - It ignored the impact of external environment on the working of the organization.
 - Thus, it treated organizations as closed systems.

Administrative Functional or Process Approach (Henri Fayol)

- An organization grew and became more complex.
- Need to systematic understanding of overall management process.
- Managers are concerned about management of organization rather than increasing the efficiency of individual jobs.
- ❖ Henry Fayol- **Father** of General Management

Henri Fayol's 14 Principles of Management:

1. **Division of Work:** Specialization increases output by making employees more efficient.
2. **Authority and Responsibility:** Managers must have the authority to give orders, balanced with responsibility for results.
3. **Discipline:** Employees must obey and respect rules, as guided by effective leadership.
4. **Unity of Command:** Each employee should receive orders from only one superior to avoid conflict.
5. **Unity of Direction:** Activities with the same objective should be directed by one manager using one plan.
6. **Subordination of Individual Interest:** The interests of the organization take precedence over personal interests.
7. **Remuneration:** Fair pay is essential to motivate employees.
8. **Centralization:** A proper balance between centralized authority and delegation (decentralization) is required.
9. **Scalar Chain:** A clear, direct line of authority from top management to the lowest ranks.
10. **Order:** Both material and social resources should be in the right place at the right time.
11. **Equity:** Managers should treat employees with kindness and fairness.
12. **Stability of Tenure:** High employee turnover should be avoided to ensure efficiency and stability.
13. **Initiative:** Employees should be encouraged to create and carry out plans.
14. **Esprit de Corps:** Promoting team spirit and harmony to build unity within the organization.

Scientific Management (F. W. Taylor)

- Scientific management means knowing exactly what you want men to do and seeing that they do it in best and cheapest way.
- It means conducting business activities according to standardized tools, methods and trained personnel in order to increase the output, improve its quality and reduce costs and waste.
- ❖ Frederick Winslow Taylor– **Father** of Scientific Management

Principles of Scientific Management:

- 1) Science, not rule of thumb
- 2) Harmony, not discord
- 3) Cooperation, not individualism
- 4) Development of workers to their greatest efficiency and Prosperity

Science, not rule of thumb:

Taylor focused on the scientific study and analysis of each and every element of a work to replace the old rule of thumb method or hit and trial method. Rule of thumb is not based on science or exact measurement. Scientific method is based on cause and effect, whereas rule of thumb was based solely on the discretion of managerial decisions. Taylor focused that managers should scientifically analyze each and every component of work. According to him, even a small work, like loading of iron pigs into boxcars can be scientifically done. Doing a work scientifically reduces wastage of time and resources and helps to achieve the target effectively and efficiently.

Harmony, not discord:

Taylor recognized the class conflict that existed between the workers and managers. He emphasized that there should be no conflict between the workers and managers. Both of them should realize the importance of each other and should work together for organizational goals. In order to achieve this harmonious relation, he focused on 'Mental Revolution', which means that workers and managers should transform their thinking. In such a situation, management aims at providing better working environment for the employees, and sharing the gains of the company, etc., and workers should avoid going on strikes and work hard to the best of their ability. This principle is clearly visible in the case of Japanese work culture. There is complete openness between the workers and management. If workers are not satisfied with the management, they wear a black badge and work for more than the normal working hours.

Cooperation, not individualism

According to this, there should be cooperation between management and workers instead of individualism. This principle is an extension of Principle 'Harmony, Not Discord'. Both management and workers should realize that they need each other. There should be cooperation between them, and competition should be replaced by cooperation. For achieving this principle, management should welcome the constructive ideas and suggestions of the workers. The workers should be praised and rewarded for the suggestions given if their suggestions were helpful. Workers should be taken into consideration while taking important decisions. On the other hand, workers should avoid unreasonable demands and strikes and should work effectively and efficiently to achieve organizational goals.

Development of workers to their greatest efficiency and Prosperity

Taylor focused on the efficiency of workers. According to him, every organization should follow the scientific method of selection of workers, and each worker should be scientifically selected. Then they should be assigned work according to their mental, physical and intellectual capabilities. To increase efficiency, training should be provided. This increase in efficiency will be beneficial for both workers and management.

Bureaucratic Approach (Max Weber):

- It is a theory of organization emphasizing a strict, rational hierarchy, specialized roles, and impersonal, rule-based management to achieve maximum efficiency and predictability.
- Principles:
 - Division of work
 - Rules and Regulations
 - Hierarchy of authority
 - Technical competence
 - Record keeping
 - Impersonal relations

2) Neo-Classical approach

- The classical writers neglected the human relations aspect.
- It focused on human aspect of the industry.
- Inter-personal relations and informal groups at the workplace.
- ❖ George Elton Mayo – Father of Human relations approach

Hawthorne Experiments

- These experiments were conducted during 1920's at a plant of the Western Electric Company.
- The plant was located at Hawthorne near Chicago in the USA.
- The experiments were conducted in 4 phases.

Phase 1 – Illumination Experiment (1924-1927)

Enlightenment tests were embraced to discover how fluctuating levels of brightening (a measure of light at the work environment, a physical element) influenced the efficiency. The speculation was that with higher brightening, efficiency would increment. In the first arrangement of tests, a gathering of specialists was picked and set in two separate groups. One gathering was presented to fluctuating forces of brightening. Since this gathering was subjected to test transforms, it was named as test convention. Another forum, called as control gathering, kept on working under steady powers of enlightenment. The scientists found that as they expanded the knowledge in the exploratory gathering, both gatherings expanded generation. At the point when the power of enlightenment diminished, the generation kept on expanding in both the gatherings.

The creation of the test assemblies diminished just when the light was diminished to the level of moonlight. The decline was because of light falling much beneath the ordinary level. Along these lines, it was reasoned that enlightenment did not have any impact on profitability but rather something else was meddling with the efficiency. Around then, it was supposed that human calculates critical deciding profitability however which perspective was influencing, it didn't know. Along these lines, another period of trials was embraced.

Phase 2: Relay Assembly Test Room Experiments (1927-1929)

Relay assembly test room experiments were designed to determine the effect of changes in various job conditions on group productivity as the illumination experiments could not establish a relationship between the intensity of light and production. For this purpose, the researchers set up a relay assembly test room two girls were chosen. These girls were asked to choose for more girls as co-workers. The work is related to the assembly of telephone relays. Each relay consisted of some parts which girls assembled into finished products. Output depended on the speed and continuity with which girls worked. The experiments started with introducing numerous changes in sequence with duration of each change ranging from four to twelve weeks. An observer was associated with girls to supervise their work. Before each change was introduced, the girls were consulted. They were given the opportunity to express their viewpoints and concerns to the supervisor. In some cases, they were allowed to take decisions on matters concerning them.

Following were the changes and resultant outcomes:

1. The incentive system has been modified so that each girl's extra pay was based on the other five rather than the output of larger group, say, 100 workers or so. The productivity increase as compared to before.
2. Two five-minute rests one in the morning session and other in evening session were introduced which were increased to ten minutes. The productivity increased.
3. The rest period was reduced to five minutes, but the frequency was increased. The productivity decreased slightly, and the girls complained that frequent rest intervals affected the rhythm of the work.
4. The number of rest was reduced to two of ten minutes of each, but in the morning, coffee or soup was served along with the sandwich, and in the evening, snack was provided. The productivity increased.
5. Changes in working hours and workday were introduced, such as cutting an hour off the end of the day and eliminating Saturday work. The girls were allowed to leave at 4.30 p.m. instead of usual 5.00 p.m. and later at 4.00 p.m. productivity increased.

As each change was introduced, absenteeism decreased, morale improved, and less supervision was required. It was assumed that these positive factors were there because of the various factors being adjusted and making them more confident. At this time, the researchers decided to revert to an original position, that is, no rest and other benefits. Surprisingly, productivity increased further instead of going down. This development caused a considerable amount of redirection in thinking, and the result implied that productivity increased not because of positive changes in physical factors but because of the change in girls' attitudes towards work and their workgroup. They developed a feeling of stability and a sense of belongings. Since there was more freedom of work, they developed a sense of responsibility and self-discipline. The relationship between supervisor and workers became close and friendly.

Phase 3 Mass Interviewing Program:

During experiments, about 20,000 interviews were conducted between 1928 and 1930 to determine employees' attitudes towards company, supervision, insurance plans, promotion and wages. Initially, these interviews were conducted using direct questioning such as "do you like your supervisor?" or "is he in your opinion fair or does he have favourites?" etc.

This method has the disadvantage of stimulating antagonism or the oversimplified 'yes' or 'no' responses which could not get to the root of the problem; the method was changed to nondirective interviewing where the interviewer was asked to listen to instead of talking, arguing or advising. The interview program gave valuable insights into the human behaviour in the company.

Some of the major findings of the program were as follows:

1. A complaint is not necessarily an objective recital of facts; it is a symptom of personal disturbance the cause of which may be deep-seated.
2. Objects, persons or events are carriers of social meanings. They become related to employee satisfaction or dissatisfaction only as the employee comes to view them from his situation.
3. The personal situation of the worker is a configuration, composed of a personal preference involving sentiments, desires and interests of the person and the cultural reference constituting the person's human past and his present interpersonal relations.
4. The position or status of worker in the company is a reference from which the employee assigns meaning and value to the events, objects and features of his environment such as hours of work, wages, etc.
5. The social organization of the company represents a system of values from which the worker derives satisfaction or dissatisfaction according to the perception of his social status and the expected social rewards.
6. The social demands of the workers are influenced by social experience in groups both inside and outside the work plant.

During interviews, it was discovered that workers' behaviour was being influenced by group behaviour. However, this conclusion was not very satisfactory and, therefore, researchers decided to conduct another series of experiments. As such, the detailed study of a shop situation was started to find out the behaviour of workers in small groups.

Phase 4 Bank Wiring Observation Room Experiment:

These investigations were directed to discover the effect of little gatherings of the people. In this trial, a group of 14 male labourers were framed into a little work meeting. The men were occupied with the gathering of terminal banks for the utilization in phone trades. The work included appending wire with switches for certain gear utilized as a part of phone deals. Time-based compensation for every specialist was settled on the premise of the normal yield of every labourer. Reward as additionally payable on the assumption of collective endeavour.

It was normal that profoundly skilled specialists would convey weight on less capable labourers to build yield and exploit gather motivation design. In any case, the technique did not work and experts built up their particular standard of yield, and this was implemented enthusiastically by different strategies for social weight. The specialist's referred to different explanations behind this conduct viz. dread of unemployment, a dread of increment in yield; yearning to secure moderate labourers and so on. The Hawthorne tests unmistakably demonstrated that a man at work is roused by more than the fulfilment of financial needs. The administration ought to perceive that individuals are social creatures and not simply monetary creatures. As a social being, they are people from a gathering and the government should attempt to comprehend assemble states of mind and gathering brain science.

3) Behavioural Science Approach

- The human relations movement focused on interpersonal relations and overlooked the wider subject of organizational behaviour.
- Organizational behaviour involves the study of attitudes, behaviour, and performance of individuals and groups in an organizational setting.
- **Major conclusions** of the contributions made by behaviouralists are as follows:
 - i. People **do not dislike** work. If they have been helped to establish objectives, they will want to achieve them.
 - ii. Their untapped potential remains **unutilized**.
 - iii. Managers' basic job is to use untapped human potential in the organization.
 - iv. The manager should create a **healthy environment** wherein all persons can contribute to the best of their capacity.
 - v. Managers should provide **opportunities for self-direction** to their subordinates.
 - vi. Operating efficiency can be improved by **expanding subordinate influence**, self-direction, and self-control.
 - vii. **Work satisfaction may improve** as a 'by-product' of subordinates making full use of their potential.

4) Social Systems Approach

- Organization is a system and its components are interrelated and interdependent.
- The Social System Approach views an organization as a living, dynamic system comprising interrelated, interdependent people operating within a social environment.
- It acknowledges that organizations are open systems that interact with their external environment.
- This approach emphasizes the social relationships, values, norms, and communication patterns that affect the organization's internal functions and performance.

5) Contingency Approach

The contingency approach is based on the belief that there is no one best way to tackle the problems of management. According to this approach, managerial decisions and actions should depend on the specific situation or circumstances faced by the organisation. Management practices that are effective in one situation may not produce the same results in another.

Contemporary issues in Management:

Contemporary management is defined by navigating rapid digital transformation (AI/automation), hybrid work models, and intense global competition. Key issues include fostering diversity and inclusion, ensuring environmental sustainability (CSR), addressing cybersecurity, and managing employee well-being. Leaders must now pivot from rigid hierarchies to flexible, ethical, and innovation-driven, collaborative models to maintain competitiveness.

Key Contemporary Management Issues:

- 1) **Technological Advancement & AI:** Integrating AI, machine learning, and automation into operations while upskilling the workforce is a major challenge and opportunity.
- 2) **Digital Transformation & Cybersecurity:** Shifting to digital, managing legacy systems, and protecting data from evolving threats.
- 3) **Hybrid Work & Workforce Dynamics:** Managing remote/hybrid teams, maintaining company culture, and ensuring work-life balance.
- 4) **Sustainability & ESG:** Addressing environmental concerns, ethical supply chains, and Corporate Social Responsibility (CSR).
- 5) **Diversity, Equity, and Inclusion (DEI):** Navigating cultural, ethnic, and social differences in a global workforce to enhance innovation.
- 6) **Change Management & Agility:** Quickly adapting to economic, political, and market instability.
- 7) **Ethical Leadership & Governance:** Shifting to stakeholder-centric, transparent, and ethical business practices.
- 8) **Talent Management & Retention:** Finding and retaining skilled manpower in a competitive market. Managers must adopt flexible, strategic, and human-centric approaches to turn these challenges into opportunities for growth.

MODULE 2

Introduction to Organizational Behavior

Introduction, Meaning and Definitions of Organizational Behavior:

Organizational Behavior (OB) is the systematic study of how individuals and groups act within organizations, aiming to improve company effectiveness and employee satisfaction. It blends psychology, sociology, and anthropology to understand, predict, and manage human behavior, focusing on motivation, structure, leadership, and group dynamics.

Meaning of Organizational Behavior:

Interdisciplinary: OB draws upon knowledge from behavioral sciences, including psychology (individual behavior), sociology (group dynamics), and anthropology (organizational culture).

Human-Centric & Technical: It balances human needs (satisfaction, growth) with technical requirements (productivity, efficiency).

Scientific Approach: It applies a systematic, research-oriented approach to manage human resources rather than relying on common sense.

Action-Oriented: The goal is to apply knowledge for better performance, leadership, and managing change

Definitions of Organizational Behavior:

LM Prasad defined organizational behavior “it is the study of human knowledge related to elements of an organization such as internal and external environment or social system, superior in technology and their flexibility to fit in the organization”

According to **Stephen P Robins** “it is a systematic study within organization which is use to exhibit people attitude and their actions towards the work.”

Robbins further elaborated his definition by saying “it studies the impact on behavior of an individual or groups of individuals within the organization for the purpose to use the knowledge for the improvement of an organizational effectiveness.”

According to **Clark** “Organizational behavior study means how an individual or a group of individual act in the organization”

Davis has defined organisational behaviour as the overall study of human behaviour, structure of organisation and their key elements i.e. technology, environment and shape.

Luthans defines “OB is the combination of total interaction and their interdependency between both of them”

After concluding all the definitions, it can be said that that OB covers all three areas of human behaviour in the organisation: individuals, group of individuals and organisation as a whole

Nature of Organizational Behavior:

A Separate Field of Study and Not a Discipline Only: By definition, a discipline is an accepted science that is based on a theoretical foundation. But, O.B. has a multi- interdisciplinary orientation and is, thus, not based on a specific theoretical background. Therefore, it is better reasonable to call O.B. a separate field of study rather than a discipline only.

An Interdisciplinary Approach: Organizational behaviour is essentially an interdisciplinary approach to study human behaviour at work. It tries to integrate the relevant knowledge drawn from re-lated disciplines like psychology, sociology and anthro-pology to make them applicable for studying and analysing organizational behaviour.

An Applied Science: Organizational Behavior (OB) is considered an applied science because it uses theories, concepts, and principles from different disciplines to solve practical problems in organizations. Instead of only developing theoretical knowledge, OB focuses on applying that knowledge to improve organizational effectiveness and employee well-being.

A Normative Science: When OB is described as a normative science, it means that it does not only explain how people behave in organizations but also suggests how people *should* behave and how organizations *ought* to manage employees to achieve better outcomes.

A Humanistic and Optimistic Approach: Organizational Behaviour applies humanistic approach towards people working in the organization. It deals with the thinking and feeling of human beings. O.B. is based on the belief that people have an innate desire to be independent, creative and productive. It also realizes that people working in the organization can and will realize this potential if they are given proper conditions and environment. Environment affects performance or workers working in an organization.

A Total System Approach: The system approach is one that integrates all the variables, affecting organizational functioning. The systems approach has been developed by the behavioural scientists to analyse human behaviour in view of his/her socio-psychological framework. Man’s socio- psychological framework makes man a complex one and the systems approach tries to study his/her complexity and find solution to it.

Scope of Organizational Behavior:

- Impact of personality on performance
- Employee motivation
- Leadership
- How to create effective teams and groups
- Study of different organizational structures
- Individual behaviours, attitude and learning
- Perception
- Design and development of effective organization
- Job design
- Impact of culture on organizational behavior
- Management of change
- Management of conflict and stress
- Organizational development
- Organizational culture
- Transactional analysis
- Group behaviours, power and politics
- Job design
- Study of emotions

Objective of Organizational Behavior:

There are several objectives of organisational behaviour and some of them are briefly stated here:

- (i) To analyse different perspective and potentialities to create and develop the ethical values in an organisation,
- (ii) To analyse the potentialities towards the ways and means to conduct and organise the systems, methods and approaches for organisation development in an organisation,
- (iii) To analyse the potentialities to develop process, methods and approaches of formal and informal patterns of organisation and society,
- (iv) To analyse how to make perspective methods and process of effective communication to formulate ethical norms in an organisation,
- (v) To analyse various aspects and factors affecting the group cohesiveness
- (vi) To analyse the ways and means to develop different ethical aspects for group dynamism,
- (vii) To analyse the mutual interest of individual and group. Mutual interest is represented by the statement 'Organisation needs people, and people also need organisation',
- (viii) To analyse and evaluate the role of different key elements like people, structure, technology interactive behaviour and environment etc.
- (ix) To analyse and evaluate the behavioural approaches in organisation. In context of that all of them are based on 'Art' and 'Science'.

(x) To analyse different aspects of work environment which duly affects the behavioural patterns and attitudes of persons.

Importance of Organizational Behavior:

1. **Creates Sustainable Competitive Advantage**

Organizational Behavior helps organizations develop **effective work culture, motivated employees, and efficient management practices**. When employees perform better and work collaboratively, the organization gains a **long-term competitive advantage** over others.

2. **Individual Component**

OB studies **individual behavior at the workplace**, including personality, perception, motivation, learning, and attitudes. Understanding these factors helps managers **improve employee performance, job satisfaction, and productivity**.

3. **Group / Team Component**

Organizations rely on teamwork. OB explains how **groups are formed, how team members interact, and how conflicts can be managed**. It helps in building **effective teams, better communication, and collaboration**.

4. **Organizational Component**

OB focuses on the **overall structure, culture, policies, and work environment** of an organization. A positive organizational culture improves **coordination, efficiency, and employee commitment**.

5. **Leadership Component**

OB helps in understanding **different leadership styles and their impact on employees**. Effective leadership motivates employees, improves morale, and helps organizations **achieve their goals successfully**.

6. **External Forces Component**

Organizations are influenced by **external factors** such as technology, economic conditions, social changes, and government policies. OB helps organizations **adapt to these changes and manage their workforce effectively**.

Three Basic Units of Analysis of OB:

Organizational Behavior studies behavior in organizations at three main levels or units of analysis. These levels help managers understand how individuals and groups behave within an organization.

1. Individual Level

- **Personality Traits:** The various personality traits are of aid in estimating human behavior. For example, conscientiousness and emotional stability can be meaningful in predicting employee performance in some jobs.
- **Motivation:** Motivational theories like Maslow's Hierarchy of Needs or Herzberg's Two-Factor Theory can provide us with a good idea of what encourages an employee to perform. This information helps managers create incentive plans that resonate with the things people naturally value in their work, as well as aligning those efforts to more tangible rewards.
- **Perception:** Employees' perceptions affect how they interpret and respond to workplace events. Cognitive biases and selective perception can influence their decision-making and interactions with colleagues.
- **Learning:** Learning theories explain how employees acquire and apply new skills and knowledge. Understanding these processes can help organizations develop effective training programs.
- **Decision-Making:** Analyzing individual decision-making processes reveals how employees choose among alternatives and the potential biases that might affect their choices.

2. Group Level

- **Group Composition:** The mix of skills, personalities, and roles within a team affects its performance. Diverse teams can bring varied perspectives, but they also require effective management to prevent conflicts.
- **Communication Patterns:** Effective communication is crucial for group success. Understanding how information flows within a team and identifying any communication barriers can improve collaboration.
- **Leadership Styles:** Different leadership styles, such as transformational or transactional leadership, impact group dynamics and performance. Effective leaders can inspire and guide their teams to achieve common goals.
- **Group Norms:** These are the unwritten rules that govern behavior within a group. Norms influence how team members interact and perform.
- **Cohesiveness:** The degree to which group members bond and work well together affects the group's productivity and morale. High cohesiveness often leads to better teamwork, but can also result in groupthink if not managed properly.

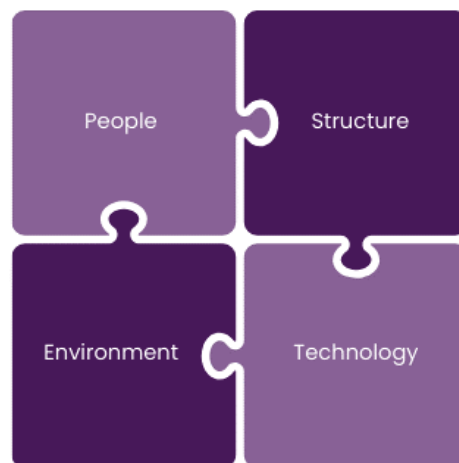
3. Organizational Level

- **Organizational Culture:** The shared values, beliefs, and norms within an organization shape employees' behaviors and attitudes. A strong, positive culture can enhance employee engagement and loyalty.
- **Organizational Structure:** The way an organization is structured, including its hierarchy, roles, and responsibilities, affects how work is coordinated and executed.
- **Systems and Processes:** These include formal procedures and informal practices that guide how tasks are performed and decisions are made.
- **Leadership Styles:** At the organizational level, leadership influences the overall direction and vision of the company. Effective leadership can drive organizational change and foster a positive work environment.
- **Change Management:** Understanding the dynamics of change within an organization helps in managing transitions smoothly and maintaining employee morale during periods of change.
- **External Factors:** Factors such as market conditions, competition, and regulatory environment impact organizational behavior and performance.

Key Elements of Organisational Behaviour

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Vital Elements of Organisational Behaviour



1) People

People serve as the backbone of any organisation, and understanding human behaviour is crucial for effective leadership and Business Management. Studying individual behaviours, group

dynamics, and organisational culture within the realm of Organisational Behaviour offers valuable insights.

These insights play an important part in improving worker engagement and encouraging teamwork, ultimately increasing productivity within the company. These factors contribute to the income and long-term sustainability of the organisation.

2) Structure

The structure of an organisation establishes its formal structure and defines the roles, responsibilities, and relationships among its members. Departmentalisation, authority delegation, range of control, and centralisation of decision-making are all included in this structure. Managers can improve decision-making processes, simplify communication channels, and maximise productivity by closely examining the organisational structure.

Managers may effectively allocate resources and promote collaboration by having an in-depth knowledge of structural components. They can also modify organisational strategies to deal with changing Opportunities and Challenges of Organizational Behaviour in the competitive business landscape.

3) Technology

In the current digital era, Organisational Behaviour is greatly impacted on technology. Collaboration and information management are being transformed by Data Analytics, automation, and communication platforms. Businesses take advantage of technological advancements to gain a competitive edge by understanding how they affect behaviour and making suitable changes.

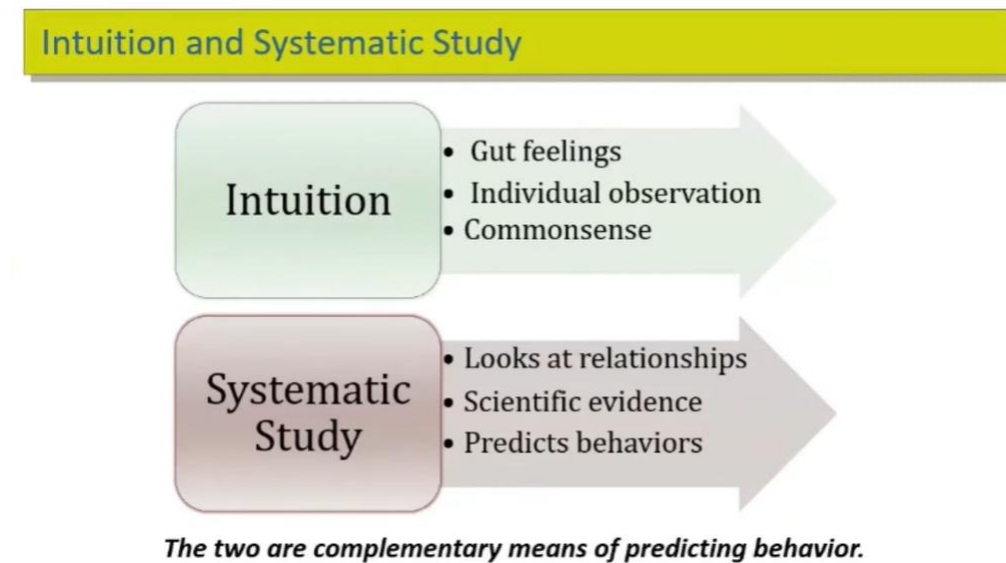
By adopting these changes, companies may improve productivity and optimise business process. This maintains their competitive edge in evolving businesses and positions them for long-term success in the digital era.

4) Environment

The organisational environment encompasses internal and external factors impacting behaviour and decision-making. Internally, it includes culture, values, and policies, while externally, it involves economic, social, and technical changes. Managers can navigate these dynamics by thoroughly analysing their organisation's environment.

By identifying issues and capitalising on opportunities, Managers can adapt to challenges and leverage trends. Fostering a positive workplace culture cultivates an environment conducive to organisational success and employee well-being.

Intuition and Systematic Study in OB:



1. Intuition

Intuition refers to making decisions based on personal feelings, experience, instincts, or judgment rather than scientific evidence.

Characteristics:

- Based on personal experience
- Quick decision-making
- Influenced by emotions and beliefs
- Not always accurate or reliable

Example:

A manager believes that a particular employee will perform well in a leadership role simply because the manager **feels** the employee is capable.

2. Systematic Study

Systematic study means analyzing behavior using **scientific methods, research, and data**. It involves observing, collecting information, and identifying patterns to understand behavior.

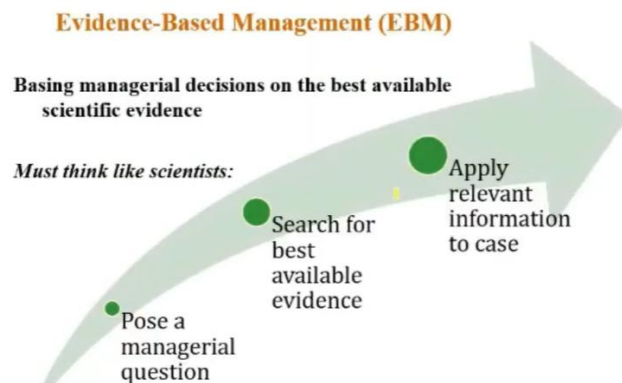
Characteristics:

- Based on research and evidence
- Uses data and analysis
- More objective and reliable
- Helps predict behavior accurately

Example:

A company studies employee performance data and feedback before promoting someone to a managerial position.

An Outgrowth of Systematic Study...



Difference Between Intuition and Systematic Study

Basis	Intuition	Systematic Study
Meaning	Based on personal feelings and experience	Based on research and scientific methods
Accuracy	May be subjective and less reliable	More objective and reliable
Decision-making	Quick and instinctive	Logical and data-based

Challenges for Organisational Behaviour

Organisational Behaviour faces numerous challenges that are constantly evolving to improve efficiency and achieve business goals. While the nature of jobs changes, some problems persist.

1. Lack of Clear Direction: Leaders may either seldom discuss or outline a deliberate future direction or strategy, or they may fail to communicate a coherent message about this strategy to all organisation members. Organisations often have numerous activities to carry out but lack the synchronisation needed to generate the momentum necessary for the organisation to modify, adapt, and shape its future.

2. Integrating Multiple Personalities: The difficulty of integrating multiple personalities into a cohesive and unified team is a significant challenge. The mix of backgrounds, judgements, views, and experiences can pose challenges for teams trying to come together and work harmoniously.

3. Development of Key Capabilities and Behaviours: Despite the presence of many hardworking individuals with good intentions in any organisation, creating a high-performance organisation often remains elusive.

4. Poor Communication and Feedback: Challenges arise when people either do everything possible to avoid confronting others and holding them accountable, or seize any opportunity to berate people, belittle them, and crush their spirits.

5. Absence of Perception: Building a viable organisation requires hard work and a keen understanding of the culture and environment that exist in a business. A clear understanding of market requirements and market forecasts is essential. The absence of these can result in significant losses in every sector.

6. Turnover: This is all about how frequently people leave a company and need to be replaced. A high turnover rate can often be traced back to the work environment or the style of leadership. This situation demands recruiters invest more time and resources in the hiring process. Companies need to focus on keeping their employees satisfied, as this helps in retaining talented professionals and attracting suitable candidates for open positions.

7. Productivity Issues: This challenge comes into play when there is a lack of motivation among the staff, leading to a reluctance to fulfil their job responsibilities. This can slow down the company's operations and make it more difficult to achieve set goals. Productive employees have a clear understanding of what's expected of them, and they put in the effort to meet these expectations.

8. Limited Innovation: This refers to a company's struggle to come up with new ideas and get ahead of its competitors. This can also have an impact on employee motivation. Employees who are not passionate about their roles may not feel driven to perform them. As time passes, a

company should change its approach. Shaking things up in the workplace can lead to the emergence of fresh ideas and reignite passion among employees.

9. Dealing with Workplace Conflicts: In any organisation, conflicts can emerge due to varying opinions, personalities, attitudes, and objectives. Such conflicts can hamper teamwork, lower productivity, and decrease employee satisfaction. However, by establishing a conflict resolution process and offering conflict management training, these conflicts can be effectively managed.

10. Clarifying Roles and Responsibilities: Non-clarity in roles and responsibilities can lead to confusion and inefficiencies among individuals, resulting in errors and overlapping tasks. It is crucial to clearly outline each person's roles and responsibilities. Additionally, establishing effective communication channels can help in seeking clarification and avoiding misunderstandings.

MODULE 3

Individual Behavior and Motivation

Understanding Individual Behavior – Perception

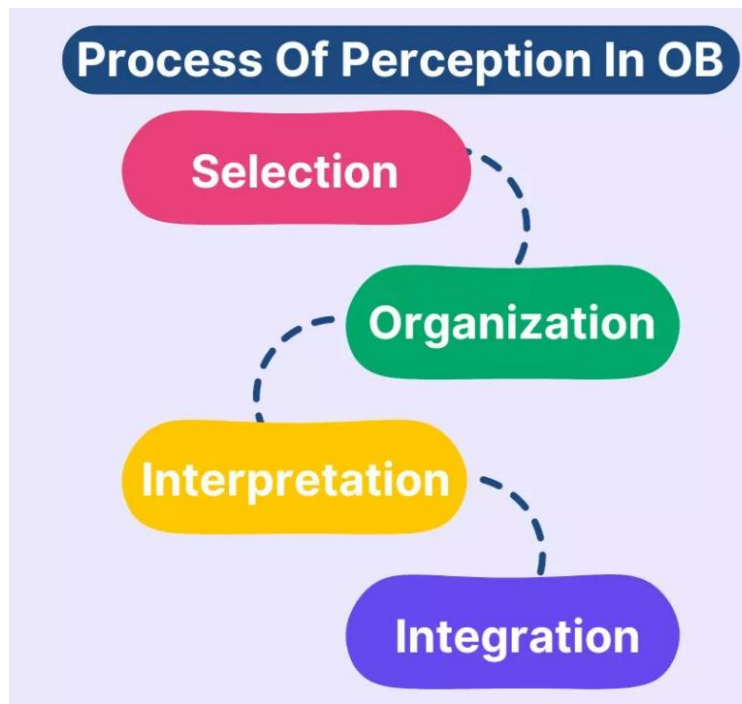
Perception in organizational behaviour refers to the process through which individuals interpret and make sense of their environment, including people, events, and situations within the workplace.

It involves selecting, organizing, and interpreting sensory information to form mental representations or perceptions.

Perceptual Process:

Understanding perception in organizational behaviour helps managers and leaders create a more effective and supportive work environment by addressing and mitigating the factors that lead to misperceptions and enhancing those that contribute to accurate perceptions.

The significance of perception in organizational behaviour is underscored by its profound impact on how employees perceive and respond to various organizational dynamics. It is a key determinant of their motivation, job satisfaction, and interaction with others, thereby playing a pivotal role in shaping organizational effectiveness and culture.



Selection

Individuals selectively attend to certain stimuli in their environment while ignoring others based on factors such as relevance, salience, and familiarity. In the workplace, employees may prioritize information related to their job responsibilities, goals, and interests.

Organization

Selected stimuli are organized and categorized into meaningful patterns or schemas based on pre-existing knowledge, experiences, and cultural norms.

For example, employees may categorize colleagues as friendly or competitive based on past interactions and social cues.

Interpretation

Organized stimuli are interpreted or assigned meaning based on individual perceptions, attributions, and cognitive biases. Interpretations may vary depending on factors such as personality, values, beliefs, and situational context.

For instance, an ambiguous performance review may be perceived as constructive feedback by one employee and as criticism by another.

Integration

Finally, perceptions are integrated into cognitive structures or mental representations that guide behaviour and decision-making. Integrated perceptions influence how individuals respond to challenges, conflicts, and opportunities within the organization, shaping their attitudes, motivations, and interpersonal relationships.

Perceptual Distortion and Types

- Perceptual distortion refers to **errors or biases** in perceiving and interpreting information about people, situations, or events.
- It occurs when individuals **misinterpret reality** due to personal beliefs, experiences, attitudes, or expectations. In organizations, perceptual distortions can affect decision-making, communication, performance evaluation, and interpersonal relationships.
- For example, a manager may assume an employee is lazy because they arrive late once, even though the employee usually performs well.

Types of Perceptual Distortion

1. Stereotyping

Stereotyping occurs when a person judges someone based on the group they belong to rather than their individual qualities.

Example:

Assuming that younger employees are irresponsible or that older employees resist technology.

2. Halo Effect

The halo effect happens when **one positive trait of a person influences the overall perception of that individual.**

Example:

If an employee is very polite, a manager may assume the employee is also highly competent even without evidence.

3. Horn Effect

The horn effect is the **opposite of the halo effect**, where **one negative trait leads to a negative overall impression of a person.**

Example:

If an employee makes one mistake, the manager may assume that the employee is generally incompetent.

4. Selective Perception

Selective perception occurs when **people notice only the information that supports their beliefs and ignore contradictory information.**

Example:

A manager who believes a particular employee is inefficient may only notice their mistakes and ignore their achievements.

5. Projection

Projection occurs when **individuals attribute their own feelings, motives, or characteristics to others.**

Example:

A manager who is very competitive may assume that all employees are equally competitive.

6. Attribution Error

This occurs when people **incorrectly judge the causes of others' behavior.**

Example:

If an employee performs poorly, the manager may assume the employee is careless rather than considering external factors such as workload or lack of resources.

7. Recency Effect

The recency effect occurs when **recent events influence a person's judgment more strongly than earlier events**.

Example:

During performance appraisal, a manager may evaluate an employee mainly based on their most recent performance.

Attribution:

Attribution refers to the process by which individuals interpret and explain the causes of behavior or events. It helps people understand why someone behaved in a particular way.

In organizations, attribution is important because managers often try to determine whether an employee's behavior or performance is due to personal factors or external situations.

Example:

If an employee performs poorly, a manager may try to determine whether the cause is lack of ability (internal) or heavy workload (external).

Types of Attributions**1. Internal Attribution (Dispositional Attribution)**

Internal attribution occurs when behavior is explained by personal factors within the individual.

These factors include:

- Ability
- Effort
- Skills
- Personality
- Motivation
- Attitude

Example:

A manager believes an employee succeeded because **they are hardworking and talented**.

2. External Attribution (Situational Attribution)

External attribution occurs when behavior is explained by factors outside the individual.

These factors include:

- Work environment
- Task difficulty
- Luck
- Organizational policies
- Support from colleagues

Example:

A manager believes an employee failed to complete work because the task was too difficult or resources were insufficient.

3. Stable Attribution

Stable attribution refers to causes of behavior that are **permanent and remain consistent over time**. These factors do not change easily and influence behavior repeatedly.

Examples of Stable Factors:

- Ability or talent
- Personality traits
- Intelligence
- Long-term attitudes

Example:

If a manager believes an employee performs well because of **high ability or strong skills**, this is a **stable attribution** since ability is considered relatively constant.

4. Unstable Attribution

Unstable attribution refers to causes of behavior that are **temporary and can change over time**. These factors may vary depending on the situation.

Examples of Unstable Factors:

- Effort
- Mood
- Luck
- Temporary health issues
- Situational pressure

Example:

If a manager thinks an employee succeeded because of **good luck or extra effort on that day**, this is an **unstable attribution**.

5. Controllable Attribution

Controllable attribution refers to causes of behavior that **a person can control or influence through their actions or effort**.

These factors depend on **individual choices, effort, and behavior**.

Examples of Controllable Factors:

- Effort
- Hard work
- Preparation
- Time management
- Skill improvement

Example:

If a student fails an exam because **they did not study enough**, the cause is **controllable** because the student could have studied more.

6. Uncontrollable Attribution

Uncontrollable attribution refers to causes of behavior that **a person cannot control**. These factors are outside the individual's influence.

Examples of Uncontrollable Factors:

- Luck
- Natural ability
- Illness
- Economic conditions
- Unexpected situations

Example:

If an employee misses work because of **sudden illness**, the cause is **uncontrollable**.

Attribution Theory:

- ▶ Attribution theory is a theory about how people explain things.
- ▶ It seeks to explain how and why people make these causal attributions.

Core Concepts of Attribution Theory

Locus of Control: This concept revolves around whether the cause of an event is perceived to be internal or external. An internal locus of control means the person believes they can influence events and their outcomes, while an external locus of control suggests that external forces dictate events.

Stability: Stability refers to whether the cause of an event is seen as stable or unstable over time. Stable causes are seen as permanent (e.g., natural ability), whereas unstable causes are temporary (e.g., mood).

Controllability: This concept deals with whether the cause of an event is something that can be controlled. For instance, effort is a controllable factor, while innate ability is not.

Key models with Attribution Theory:

1) Heider's Naive Psychology:

- ▶ Fritz Heider, often considered the **father** of Attribution Theory.
- ▶ He proposed that people are intuitive psychologists who try to make sense of the world by attributing causes to behavior.

Kelley's Covariation Model: Harold Kelley introduced the covariation model, which suggests that people make attributions by considering three types of information: consistency, distinctiveness, and consensus.

a) Consensus

Consensus refers to **whether other people behave in the same way in similar situations**.

- **High consensus:** Many people behave the same way.
- **Low consensus:** Only one person behaves that way.

Example:

If many employees miss a deadline, the problem may be **external** (task difficulty).

b) Consistency

Consistency refers to **whether the person behaves the same way over time**.

- **High consistency:** Behavior occurs repeatedly.
- **Low consistency:** Behavior occurs only occasionally.

Example:

If an employee is always late, it may be due to **personal habits (internal)**.

c) Distinctiveness

Distinctiveness refers to **whether a person behaves differently in different situations**.

- **High distinctiveness:** Behavior occurs only in a specific situation.
- **Low distinctiveness:** Behavior occurs in many situations.

Example:

If an employee performs poorly only in one task but well in others, the cause may be **external**.

2) Weiner's Attribution Theory of Motivation and Emotion:

Bernard Weiner expanded Attribution Theory by linking it to motivation and emotion. He proposed that attributions influence emotions and subsequent behaviors.

For example, attributing failure to a lack of effort (an internal, controllable cause) might lead to feelings of guilt and a motivation to work harder, whereas attributing it to bad luck (an external, uncontrollable cause) might lead to feelings of helplessness and reduced motivation.

Attribution Errors:

Fundamental Attribution Error:

- **Definition:** The Fundamental Attribution Error (FAE), also known as the correspondence bias, refers to the tendency to attribute other people's behavior to internal factors such as personality traits, abilities, and feelings.
- When explaining their own behaviour, on the other hand, people tend to attribute it to situational factors.
- **Example:** If a colleague arrives late to a meeting, we might immediately think they are irresponsible or lazy (internal attribution) rather than considering they might have been stuck in traffic (external attribution)

Actor-Observer Bias:

- **Definition:** The Actor-Observer Bias is the tendency to attribute our own actions to external factors while attributing others' actions to internal factors.
- **Example:** If we fail an exam, we might blame the difficulty of the questions or poor teaching (external factors). However, if a peer fails, we might think they didn't study hard enough (internal factor).

Self-Serving Bias:

- **Definition:** The Self-Serving Bias is the tendency to attribute successes to internal factors and failures to external factors to protect our self-esteem .
- **Example:** If we succeed in a project, we might credit our hard work and intelligence (internal attribution). If we fail, we might blame it on a lack of resources or bad luck (external attribution).

Just-World Hypothesis:

- **Definition:** The Just-World Hypothesis is the belief that the world is fair and people get what they deserve. This bias leads to victim-blaming, where individuals attribute others' misfortunes to their actions or characteristics .
- **Example:** Assuming that a person who is mugged was careless or a victim of poverty didn't work hard enough.

False Consensus Effect:

- **Definition:** The False Consensus Effect is the tendency to overestimate the extent to which others share our beliefs, attitudes, and behaviors .
- **Example:** Believing that most people agree with our political views or that our preferences are common.

Attitudes:

- ▶ Attitudes can be complex because different people can feel differently about the same things.
- ▶ For example, while some people may like a certain job, others may not like it at all.

Characteristics of Attitude

1. **Evaluative:** Attitudes involve an individual's positive or negative evaluation of an object, person, group, idea, or event.
2. **Learned:** Attitudes are learned through a variety of processes, including direct experience, socialization, and exposure to persuasive messages.
3. **Enduring:** Attitudes tend to be enduring, meaning they can persist over time and be resistant to change.
4. **Influence behavior:** Attitudes can influence an individual's behavior, thoughts, and emotions, and can shape their social interactions and relationships.
5. **Vary in intensity:** Attitudes can vary in intensity, meaning some attitudes may be stronger than others and have a greater influence on behavior.
6. **Multi-dimensional:** Attitudes are multi-dimensional, composed of cognitive, affective, and behavioral components.
7. **Context-dependent:** Attitudes can be context-dependent, meaning they may change depending on the situation or social context.
8. **Can change over time:** While attitudes tend to be enduring, they can change over time through processes such as persuasion, cognitive dissonance, and social influence.

Components of attitudes:

Cognitive Component

This component reflects the opinion, belief or feeling about something, like the object, people, or event. Opinion is the expression that a person forms of the facts known to him. It is, thus, response to a limited stimulus (the facts presented). Belief is a broader component that covers a person's perception about the object, facts, or the situation, whether presented or not. It determines how a person perceives an object in general.

For example, "It is wrong to tell lies" is a belief.

"It is wrong to tell lies, but in that situation, it was necessary to lie, and it didn't harm anyone, so it's okay to hide the truth," is an opinion that justifies a specific situation.

Opinions are, thus, changeable but beliefs are stronger than opinions. They are based on experience, learning from others or what we learn from information.

Both opinions and beliefs shape a person's attitudes. The cognitive component can be both favourable and unfavourable.

For example, the work culture in the office is ethical is a favourable attitude.

The work culture in the office is unethical is an unfavourable attitude.

Cognitive component is, thus, "the opinion or belief segment of an attitude."

Our thoughts and feelings about things, whether good or not so good, affect our attitudes. Understanding this helps us see how attitudes help us in how we view the world.

Affective Component

While cognitive component expresses the opinion or belief about an object or situation, the affective component expresses the feeling or sentiment about that object or situation. It is about how we evaluate a situation and the emotions we have about it, , good or bad, pleasant, or unpleasant. It gives emotional expression to cognitive component. It is "the emotional or feeling segment of an attitude." It is about how "I Feel" about the situation, good or bad.

For example,

- (i) I like my boss (positive feeling towards boss) or I do not like my boss (negative feeling towards boss).
- (ii) I got the promotion though I did not deserve it (negative feeling about getting the promotion) or I did not get the promotion though I deserved it.
- (iii) I hate to lie (strong feeling against speaking lies) or it is OK to lie sometimes (accepting feeling about lying in certain situations).

The affective component works with the cognitive component (our thoughts and beliefs) to make up our attitudes. Understanding both helps us understand ourselves better and how we react to different things in life.

Behavioural Component

Cognitive element is the 'belief', affective component is how one 'feels' about that belief and behavioural component describes how one intends to behave towards the object or situation as influenced by the cognitive and affective components (the belief and the feelings). It is "an intention to behave in a certain way towards someone or something." The behaviour may be favourable or unfavourable. If the feeling towards the belief is positive, the behaviour is favourable and if the feeling is negative, the behaviour is unfavourable.

The three components of attitude are not independent. They do not exist separately. Attitude is a combination of cognitive, affective, and behavioural tendencies towards an object, person, event, or situation. Behaviour at workplace is the outcome of attitudes which in turn, are the outcome of complex interaction of cognitive, affective, and behavioural components.

X believes that promotions should be based on merit and not favouritism. X was a deserving candidate for promotion, but Y got the promotion got upset for being treated unfairly. He did not like the way things were being done at the company and decided to find another job that respects their skills and job requirements.

Attitude of X can be broken into three parts:

1. Cognitive component – X thinks that promotions should be based on merit, but Y got it. X believes this is unfair.
2. Affective component – X does not like the work environment at the company because he feels it is not right to use favouritism for promotions. X thinks it is unethical.
3. Behavioural component – X decides he cannot work in this environment, so he looks for a new job that treats employees fairly.

These thoughts, feelings, and actions make negative attitude towards the company and the people in charge. It shows how attitudes can be influenced by our beliefs, emotions, and how we behave in response to certain situations.

This is also called the **ABC model** of attitudes where attitude comprises:

C – Cognitive component

A – Affective component

B – Behavioural component

Attitudes and Consistency:

Attitudes and Consistency is an important concept in Organizational Behavior and Social Psychology. It explains how people try to keep their beliefs, attitudes, and behaviors aligned with each other.

An **attitude** is a person's positive or negative evaluation, feeling, or tendency toward an object, person, or situation.

Example:

- A student believes **studying regularly is important** → Positive attitude toward studying.

Consistency means that people prefer harmony between their attitudes and their actions.

When there is inconsistency, individuals feel psychological discomfort and try to correct it.

Example:

- If someone believes smoking is harmful but still smokes, they feel uncomfortable and may:
 - Quit smoking, or
 - Justify it by saying “I only smoke occasionally.”

The concept of attitude consistency is strongly explained by **Cognitive Dissonance Theory**, developed by **Leon Festinger**.

Cognitive dissonance theory

Cognitive dissonance theory was first presented by Leon Festinger in 1957 in order to explain the relationships between the motivation, perceptions and cognitions of an individual.

Festinger (Festinger, 1962) defined the ‘cognition’ as any piece of knowledge that an individual has about themselves or their environment. The theory was based on the belief that people strive toward consistency within themselves and are driven to make changes to reduce or eliminate an inconsistency

Cognitive dissonance theory began by postulating that pairs of cognitions can be either relevant or irrelevant to one another. If two cognitions are relevant and concurring, there is **consonance**. However, if two cognitions are relevant, but conflicting, the existence of **dissonance** would cause psychological discomfort and motivate the individual to act upon this.

Cognitive Dissonance theory has two basic underlying hypotheses:

1. The existence of a dissonance will cause mental discomfort and motivate the individual to reduce the dissonance and restore consonance
2. To reduce the dissonance, the individual will try to reduce it as well as avoid situations or information that are likely to increase the dissonance

Four ways to reduce a dissonance

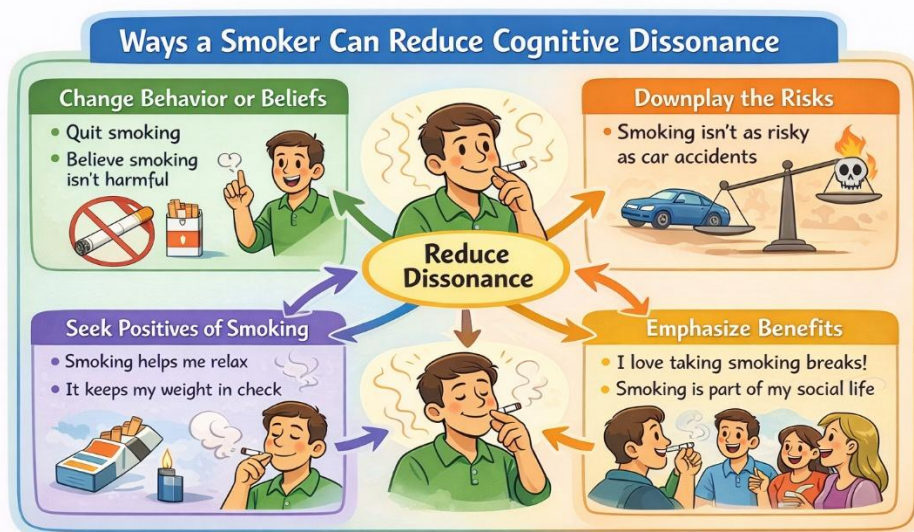
- 1) an individual can reduce the mental discomfort by changing the inconsistent cognition
- 2) reducing the importance of conflicting elements

- 3) acquiring new harmonious elements or
- 4) increasing the importance of the existing consistent elements.

Example:

Four ways that the smoker can reduce the dissonance.

- First, the person could remove the dissonant cognition by either changing his behaviour (stop smoking) or knowledge (believe that smoking is actually not bad for health).
- Second, the person could reduce the importance of the dissonant cognition by thinking that the risk of getting lung cancer from smoking is lesser than being in a car accident.
- Third, the person could increase the amount of consonant cognition by looking for positive effects of smoking.
- Lastly, the person could focus on the benefits of smoking as an important part of his or her life



Personality:

Personality can be defined as those inner psychological characteristics that both determine and reflect how a person think and act in an environment.

The inner characteristics of personality are specific qualities, attributes, traits, factors and mannerism that distinguish one individual from other individuals. Personalities are likely to

influence the individual's product and store choices. They also affect the way consumer responds to a firm's communication efforts.

The word personality is derived from a Greek word "persona" which means "to speak through". Personality is the combination of characteristics or qualities that forms a person's unique identity.

Personality in Organisational Behavior of an individual plays an extremely important role in assessing the behaviour of a person at an organization.

In case an individual who is holding a senior position in an organization has a wrong type of personality, it may lead to a very bad impact on the relationship and ultimately it may lead to protests and unrest at the workplace.

Determinants of Personality

The determinants of personality can be grouped in five broad categories:

1. Biological Factors
2. Cultural Factors
3. Family Factors
4. Social Factors
5. Situational Factors

Biological Factors

The study of the biological contributions to personality may be studied under **three** heads:

Heredity

Heredity refers to those factors that were determined at conception. Physical stature, facial attractiveness, sex, temperament, muscle composition and reflexes, energy level, and biological rhythms are characteristics that are considered to be inherent from one's parents.

The heredity approach argues that the ultimate explanation of an individual's personality is the molecular structure of the genes, located in the chromosomes.

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Brain

The second biological approach is to concentrate on the role that the brain plays in personality. The psychologists are unable to prove empirically the contribution of the human brain in influencing personality.

Preliminary results from the electrical stimulation of the brain (ESB) research give an indication that a better understanding of human personality and behaviour might come from the study of the brain.

Physical Features

A vital ingredient of the personality, an individual's external appearance, is biologically determined. The fact that a person is tall or short, fat or skinny, black or white will influence the person's effect on others and this in turn, will affect the self-concept.

Cultural Factors

Among the factors that influence personality formation is the culture in which we are raised, early conditioning, norms prevailing within the family, friends and social groups and other miscellaneous experiences that impact us.

The culture largely determines attitudes towards independence, aggression, competition, cooperation and a host of other human responses

Family Factors

Whereas the culture generally prescribes and limits what a person can be taught, it is the family, and later the social group, which selects, interprets and dispenses the culture. Thus, the family probably has the most significant impact on early personality development.

A substantial amount of empirical evidence indicates that the overall home environment created by the parents, in addition to their direct influence, is critical to personality development.

The parents play an especially important part in the identification process, which is important to the person's early development.

Social Factors

There is increasing recognition given to the role of other relevant persons, groups and especially organisations, which greatly influence an individual's personality. This is commonly called the socialization process.

Socialization involves the process by which a person acquires, from the enormously wide range of behavioural potentialities that are open to him or her, those that are ultimately synthesized and absorbed.

Socialization starts with the initial contact between a mother and her new infant. After infancy, other members of the immediate family – father, brothers, sisters and close relatives or friends, then the social group: peers, school friends and members of the work group – play influential roles.

Socialization process is especially relevant to organisational behaviour because the process is not confined to early childhood, taking place rather throughout one's life. In particular, the evidence is accumulating that socialization may be one of the best explanations for why employees behave the way they do in today's organisations.

Situational Factors

Human personality is also influenced by situational factors. The effect of the environment is quite strong. Knowledge, skill and language are obviously acquired and represent important modifications of behavior.

An individual's personality, while generally stable and consistent, does change in different situations. The varying demands of different situations call forth different aspects of one's personality.

Big 5 Model of Personality:

The Myers-Briggs Type Indicator The Myers-Briggs Type Indicator (MBTI) is the most widely used personality assessment instrument in the world.

It is a 100-question personality test that asks people how they usually feel or act in particular situations.

Respondents are classified as extraverted or introverted (E or I), sensing or intuitive (S or N), thinking or feeling (T or F), and judging or perceiving (J or P).

These terms are defined as follows:

- Extraverted (E) versus Introverted (I). Extraverted individuals are outgoing, sociable, and assertive. Introverts are quiet and shy.
- Sensing (S) versus Intuitive (N). Sensing types are practical and prefer routine and order. They focus on details. Intuitives rely on unconscious processes and look at the "big picture."
- Thinking (T) versus Feeling (F). Thinking types use reason and logic to handle problems. Feeling types rely on their personal values and emotions.
- Judging (J) versus Perceiving (P). Judging types want control and prefer their world to be ordered and structured. Perceiving types are flexible and spontaneous.

The Big Five Personality Model

The MBTI may lack strong supporting evidence, but an impressive body of research supports the thesis of the Big Five Model—that five basic dimensions underlie all others and encompass most of the significant variation in human personality.

Moreover, test scores of these traits do a very good job of predicting how people behave in a variety of real-life situations.

The following are the Big Five factors:

- **Extraversion.** The extraversion dimension captures our comfort level with relationships. Extraverts tend to be gregarious, assertive, and sociable. Introverts tend to be reserved, timid, and quiet.
- **Agreeableness.** The agreeableness dimension refers to an individual's propensity to defer to others. Highly agreeable people are cooperative, warm, and trusting. People who score low on agreeableness are cold, disagreeable, and antagonistic.
- **Conscientiousness.** The conscientiousness dimension is a measure of reliability. A highly conscientious person is responsible, organized, dependable, and persistent. Those who score low on this dimension are easily distracted, disorganized, and unreliable.
- **Emotional stability.** The emotional stability dimension—often labeled by its converse, neuroticism—taps a person's ability to withstand stress. People with positive emotional stability tend to be calm, self-confident, and secure. Those with high negative scores tend to be nervous, anxious, depressed, and insecure.
- **Openness to experience.** The openness to experience dimension addresses range of interests and fascination with novelty. Extremely open people are creative, curious, and artistically sensitive. Those at the other end of the category are conventional and find comfort in the familiar.

Other Personality Traits Relevant to OB:

- ▶ **Core Self-Evaluation:** People who have positive core self-evaluations like themselves and see themselves as effective, capable, and in control of their environment. Those with negative core self-evaluations tend to dislike themselves, question their capabilities, and view themselves as powerless over their environment.

► **Narcissism:**

- Term is from the Greek myth of Narcissus, a man so vain and proud he fell in love with his own image.
- In psychology, narcissism describes a person who has a grandiose sense of self-importance, requires excessive admiration, has a sense of entitlement, and is arrogant.
- An **Oracle** executive described that company's **CEO Larry Ellison** as follows: "The difference between God and Larry is that God does not believe he is Larry."

► **Self-monitoring** refers to an individual's ability to adjust his or her behavior to external, situational factors.

- Individuals high in self-monitoring show considerable adaptability in adjusting their behavior to external situational factors.
- They are highly sensitive to external cues and can behave differently in different situations, sometimes presenting striking contradictions between their public persona and their private self.

► **Risk-taking:** People differ in their willingness to take chances, a quality that affects how much time and information they need to make a decision.

A high risk-taking propensity may lead to more effective performance for a stock trader in a brokerage firm because that type of job demands rapid decision making. On the other hand, a willingness to take risks might prove a major obstacle to an accountant who performs auditing activities.

► **Proactive personality:**

- Those with a proactive personality identify opportunities, show initiative, take action, and persevere until meaningful change occurs, compared to others who passively react to situations.
- Proactives create positive change in their environment, regardless of, or even in spite of, constraints or obstacles.
- Not surprisingly, they have many desirable behaviors that organizations covet. They are more likely than others to be seen as leaders and to act as change agents.
- Proactive individuals are more likely to be satisfied with work and help others more with their tasks, largely because they build more relationships with others.
- Proactives are also more likely to challenge the status quo or voice their displeasure when situations aren't to their liking.

► **Other-Orientation:** Some people just naturally seem to think about other people a lot, being concerned about their well-being and feelings.

- Those who are **other-oriented** feel more obligated to help others who have helped them (**pay me back**),

- whereas those who are more **self-oriented** will help others when they expect to be helped in the future (**pay me forward**)

Major Personality Attribute/Theories:

1) Locus of Control

Developed by Julian Rotter in the 1960s, this theory classifies people based on their belief about the source of their fate.

- ▶ Internals (Internal Locus): People who believe they are masters of their own fate, attributing success and failure to their own actions, hard work, and abilities. They tend to be more achievement-oriented, proactive, and resilient.
- ▶ Externals (External Locus): People who believe that what happens to them is controlled by outside forces, such as luck, chance, or fate. They often feel less in control, which can lead to higher absenteeism and lower job satisfaction.

2) Theory of Machiavellianism

Named after Niccolò Machiavelli, this construct was developed by Richard Christie and Florence Geis in the 1960s to measure interpersonal manipulation.

- ▶ The personality characteristic of Machiavellianism (often abbreviated Mach) is named after Niccolò Machiavelli, who wrote in the sixteenth century on how to gain and use power.
- ▶ An individual high in Machiavellianism is pragmatic, maintains emotional distance, and believes ends can justify means. "If it works, use it" is consistent with a high-Mach perspective.

Machiavellianism The degree to which an individual is pragmatic, maintains emotional distance, and believes that ends can justify means.

Key Principles of Machiavellian Theory:

- Ends Justify the Means:

A ruler's primary goal is to maintain state stability and security. If this is achieved, the methods (even deceptive or violent ones) will be deemed honorable.

- Realism over Idealism:

Machiavelli focused on the "**effectual truth**" of politics rather than how society should be, rejecting classical and Christian morality in politics.

- Fear vs. Love:

Because human beings are fickle and self-interested, it is safer for a prince to be feared than loved, although he should avoid being hated.

- The Lion and the Fox:

A ruler must imitate a fox to recognize traps and a lion to frighten wolves, combining cunning with force.

- Dual Morality:

A clear distinction exists between the morality of the state and the morality of the individual. Actions that are wrong in private life can be right in politics to ensure the survival of the state.

- Secular State:

He advocated for a strong, secular state where religion is merely a tool for the state to control the people and maintain stability.

Religion-Tool for control and stability
State-real authority

3) The Somatotype theory was proposed by William Sheldon. It attempts to classify individuals based on **body structure (physique)** and relate it to **personality traits and behavior**.

- ▶ **Endomorphs** (round/soft) are relaxed and sociable,
- ▶ **Mesomorphs** (muscular/athletic) are assertive and adventurous, and
- ▶ **Ectomorphs** (thin/slender) are introverted and restrained.

These archetypes suggest biological predispositions, though the theory is now considered a broad generalization rather than strict.

Types of Somatotypes:

1. Endomorph

- ▶ Physical Characteristics:
 - ▶ Soft, round body; higher fat accumulation
- ▶ Personality Traits:
 - ▶ Sociable, friendly, and relaxed
 - ▶ Comfort-seeking and tolerant
- ▶ Managerial Insight:
 - ▶ Good in team-oriented roles, HR, and relationship management

2. Ectomorph

- ▶ **Physical Characteristics:**
 - ▶ Thin, lean body; delicate build
 - ▶ Narrow shoulders
- ▶ **Personality Traits:**
 - ▶ Introverted, thoughtful, and sensitive
 - ▶ Prefer solitude and analytical thinking
- ▶ **Managerial Insight:**
 - ▶ Suitable for **research, analytics, strategy** roles

3. Mesomorph

Physical Characteristics:

- ▶ Muscular, athletic body
- ▶ Strong and well-built
- ▶ **Personality Traits:**
 - ▶ Confident, assertive, and energetic
 - ▶ Risk-taking and action-oriented
- ▶ **Managerial Insight:**
 - ▶ Effective in **leadership, sales, and operations** roles

Type	Body Structure	Personality	Suitable Roles
Endomorph	Round, soft	Social, relaxed	HR, Team roles
Ectomorph	Thin, lean	Introverted, analytical	Research, Strategy
Mesomorph	Muscular	Bold, confident	Leadership, Sales

While Somatotype theory provides a basic framework to link physique with personality, modern management relies more on **behavioral and psychological models** rather than physical appearance.

4) Type A and Type B personalities

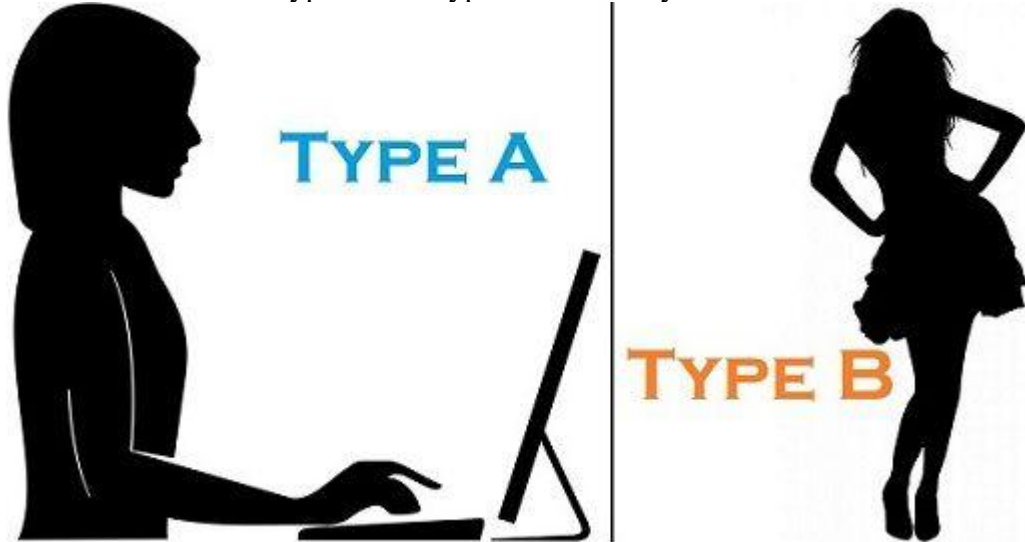
They represent two distinct behavioral patterns regarding stress, time, and ambition.

Type A individuals are ambitious, highly competitive, impatient, and time-conscious, often experiencing high stress.

Type B individuals are relaxed, easygoing, patient, and less stressed, approaching life with flexibility.

BASIS FOR COMPARISON	TYPE A PERSONALITY	TYPE B PERSONALITY
Meaning	Type A personality is one which is stress prone, in a hurry, impatient and fast in whatever they do.	Type B personality is one which is less stress prone patient, relaxed and easy going.
Nature	Sensitive and proactive	Reflective and innovative
Patience level	Low	High
Temperament	Short-tempered	Even-tempered
Competition	Highly-competitive	Less-competitive
Multitasking	Does several things at a time.	Does one thing at a time.
Stress level	High	Low
Time constraints	Encounters pressure because of time constraints	Is not affected by time constraints.

Difference Between Type A and Type B Personality



Based on personality, people can be bifurcated into two categories i.e. Type A personality and Type B

personality. It is the most common individual-level stressor and explains two different types of personality. These are known to influence the possibility of an individual's acquiring health-related problems like heart ailments.

Type A people are highly competitive, self-critical. They continuously strive for goals without paying much attention to efforts and accomplishments.

On the other extreme, **Type B** individuals are usually more tolerant, relaxed, reflective than Type A. So, if you are concerned about which personality type you carry, take a glance at the article excerpt and identify yourself. It may also help to understand the difference between the two.

Comparison Chart

Basis for Comparison	Type A Personality	Type B Personality
Meaning	Type A personality is one which is stress prone, in a hurry, impatient and fast in whatever they do.	Type B personality is one which is less stress prone patient, relaxed and easy going.
Nature	Sensitive and proactive	Reflective and innovative
Patience level	Low	High
Temperament	Short-tempered	Even-tempered
Competition	Highly-competitive	Less-competitive
Multitasking	Does several things at a time.	Does one thing at a time.
Stress level	High	Low
Time constraints	Encounters pressure because of time constraints	Is not affected by time constraints.

Definition of Type A Personality

Type A personality implies a temperament which is stress-prone, concerned with time management. They are ambitious, rigidly organised, hard-working, anxious, highly status-conscious, hostile and aggressive. Individuals who possess Type A personality have the following behavioural patterns:

- They move, walk and eat fast.
- Great at multitasking.
- Self-driven feels guilty when relaxing.
- Feels impatient with the pace of things, dislikes waiting.
- They have a busy schedule and does not have time to enjoy life.
- Uses nervous gestures, like a clenched fist or banging hand on the table.
- They are high-achievers, perform beyond par.

- They do not easily accept failure.

Definition of Type B Personality

Type B personality is one that is less prone to stress, easy going, work steadily, enjoy achievement, modest ambition, and live in the moment. They are social, creative, thoughtful, procrastinating. Individuals who possess a Type B personality are associated with the following behavioural traits:

- They are not concerned about time.
- They compete for fun, not to win.
- Mild-mannered.
- Never in a hurry and has no pressing deadlines.
- Does not brag.
- Focus on quality rather than quantity.
- Laidback and live a stress-less life.

Motivation:

- ▶ Motivation is the processes that account for an individual's intensity, direction, and persistence of effort toward attaining a goal.
- ▶ The three key elements in our definition are intensity, direction, and persistence.
 - ▶ Intensity describes how hard a person tries. This is the element most of us focus on when we talk about motivation. However, high intensity is unlikely to lead to favorable job-performance outcomes unless the effort is channeled in a direction that benefits the organization.
 - ▶ Therefore, we consider the quality of effort as well as its intensity. Effort directed toward, and consistent with, the organization's goals is the kind of effort we should be seeking. Finally, motivation has a persistence dimension.
 - ▶ This measures how long a person can maintain effort. Motivated individuals stay with a task long enough to achieve their goal.

Key aspects of the importance of motivation include:

- **Improved Performance and Efficiency:** Motivation increases the willingness to work, which enhances the efficiency and productivity of employees. It pushes individuals to utilize their full abilities to achieve targets.
- **Goal Achievement:** It directs behavior towards specific goals, enabling individuals and organizations to reach their desired outcomes.
- **Positive Attitude and Environment:** Motivation transforms negative attitudes into positive ones, fostering a healthy work environment.
- **Reduced Employee Turnover and Absenteeism:** Motivated employees are less likely to leave their jobs or miss work, as they feel satisfied and valued.
- **Adaptability to Change:** It helps employees accept new, necessary changes in an organization, reducing resistance to change.

- **Personal and Professional Growth:** It encourages learning, skill development, and the pursuit of long-term goals.

Motivational theories:

The best-known theory of motivation is Abraham Maslow's hierarchy of needs.

Maslow hypothesized that within every human being, there exists a hierarchy of five needs:

1. **Physiological.** Includes hunger, thirst, shelter, sex, and other bodily needs.
2. **Safety.** Security and protection from physical and emotional harm.
3. **Social.** Affection, belongingness, acceptance, and friendship.
4. **Esteem.** Internal factors such as self-respect, autonomy, and achievement, and external factors such as status, recognition, and attention.
5. **Self-actualization.** Drive to become what we are capable of becoming; includes growth, achieving our potential, and self-fulfillment.

Maslow separated the five needs into higher and lower orders. Physiological and safety needs, where the theory says people start, were lower-order needs, and social, esteem, and self-actualization were higher-order needs.

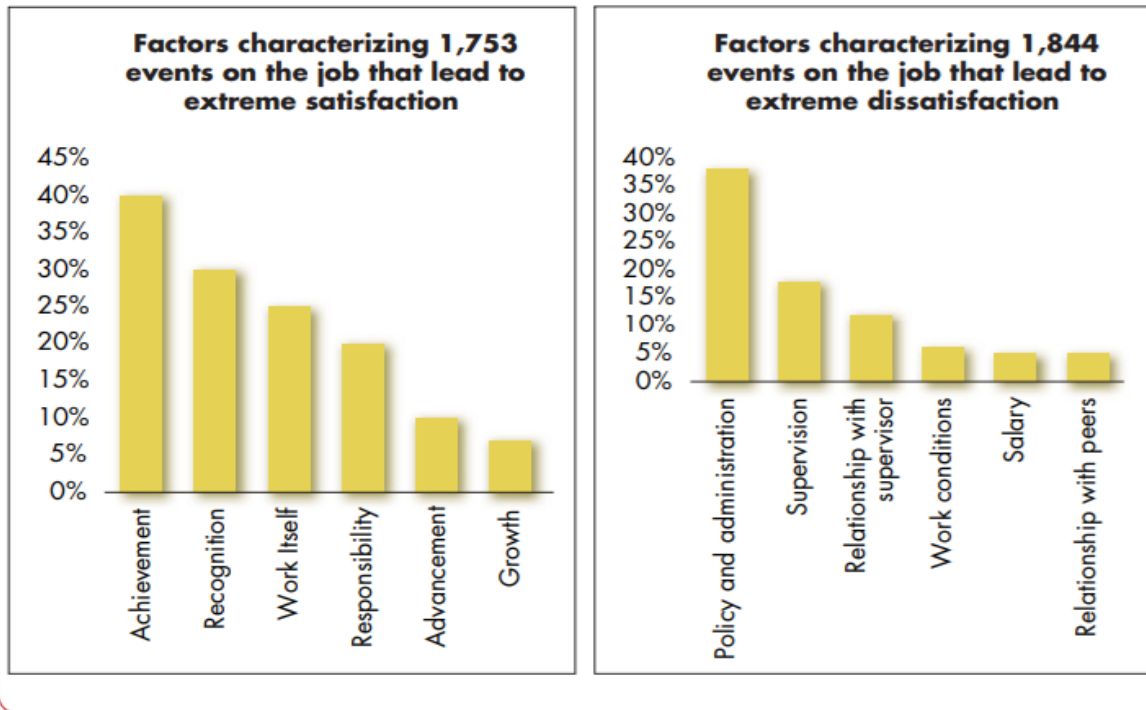
Higher-order needs are satisfied internally (within the person), whereas lower-order needs are predominantly satisfied externally (by things such as pay, union contracts, and tenure).

Herzberg's Two-Factor Theory:

Frederick Herzberg's Two-Factor Theory (1959) states that job satisfaction and dissatisfaction are influenced by two distinct sets of factors—**Motivation and Hygiene**.

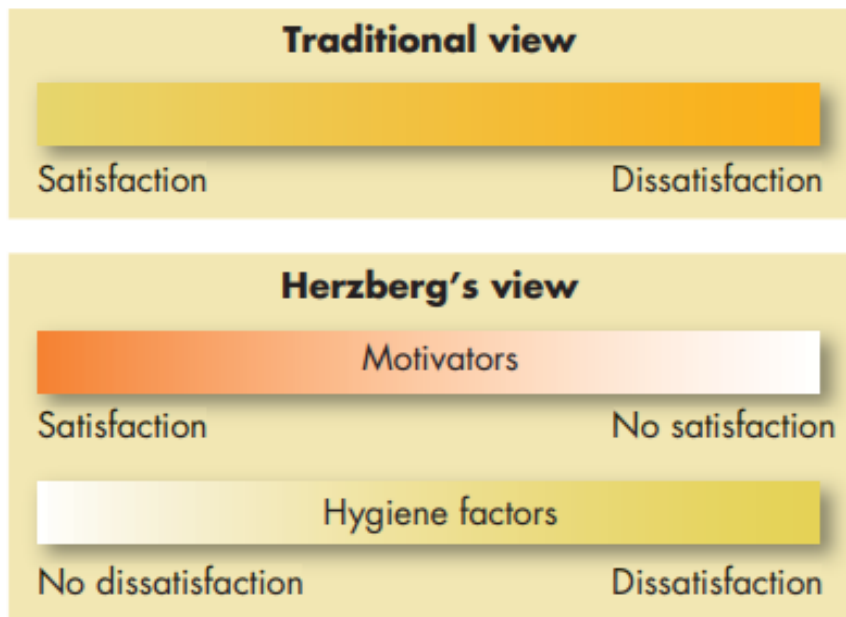
Intrinsic factors such as advancement, recognition, responsibility, and achievement seem related to job satisfaction. Respondents who felt good about their work tended to attribute these factors to themselves, while dissatisfied respondents tended to cite extrinsic factors, such as supervision, pay, company policies, and working conditions.

To Herzberg, the data suggest that the opposite of satisfaction is not dissatisfaction, as was traditionally believed. Removing dissatisfying characteristics from a job does not necessarily make the job satisfying.

Exhibit 7-2**Comparison of Satisfiers and Dissatisfiers**

Source: Based on Harvard Business Review. "Comparison of Satisfiers and Dissatisfiers." An exhibit from *One More Time: How Do You Motivate Employees?* by Frederick Herzberg, January 2003. Copyright © 2003 by the Harvard Business School Publishing Corporation. All rights reserved.

Herzberg proposed a dual continuum: The opposite of "satisfaction" is "no satisfaction," and the opposite of "dissatisfaction" is "no dissatisfaction."



According to Herzberg, the factors that lead to job satisfaction are separate and distinct from those that lead to job dissatisfaction.

Therefore, managers who seek to eliminate factors that can create job dissatisfaction may bring about peace, but not necessarily motivation. They will be placating rather than motivating their workers.

As a result, Herzberg characterized conditions such as quality of supervision, pay, company policies, physical working conditions, relationships with others, and job security as **hygiene** factors. When they're adequate, people will not be dissatisfied; neither will they be satisfied.

Criticisms include the following:

1. Herzberg's methodology is limited because it relies on self-reports. When things are going well, people tend to take credit. Contrarily, they blame failure on the extrinsic environment.
2. The reliability of Herzberg's methodology is questionable. Raters have to make interpretations, so they may contaminate the findings by interpreting one response in one manner while treating a similar response differently.
3. No overall measure of satisfaction was utilized. A person may dislike part of a job yet still think the job is acceptable overall.
4. Herzberg assumed a relationship between satisfaction and productivity, but he looked only at satisfaction. To make his research relevant, we must assume a strong relationship between satisfaction and productivity.

Regardless of the criticisms, Herzberg's theory has been widely read, and few managers are unfamiliar with its recommendations.